

QA Test Academy - Loan Readiness Report

SchoolStack Budget Consultant Analysis

Executive Summary

QA Test Academy projects \$749,127,660 in Year 5 revenue with a 98.1% profit margin. The model tells a strong financial story with 10 of 10 key metrics in healthy range, a great foundation for your mission.

Lender Readiness Assessment

 Status: Strong

This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

Key Financial Metrics

Metric	Value	Status	Interpretation
Revenue per Student (Year 1)	\$1,080,756	' Good	Healthy per-student revenue provides a solid foundation for sustainability.
Cost per Student (Year 1)	\$67,195	' Good	Total cost per student is \$67,195, well within revenue per student of \$1,080,756, leaving a healthy margin.
Staffing Cost (% of Revenue)	0.5%	' Good	Staffing costs are well-controlled, giving you room for other priorities.
Operating Cost (% of Revenue)	5.7%	' Good	Operating costs are lean relative to revenue.
Profit margin (Year 1)	93.8%	' Good	Year 1 shows a healthy surplus, a strong start for a new school.
Profit margin (Year 5)	98.1%	' Good	By Year 5 the model shows strong profit, and your school is on track for financial sustainability.
5-Year Revenue Growth	670.2%	' Good	Strong projected revenue growth over the 5-year period.
Capacity Utilization (Year 5)	115.0%	' Good	Year 5 enrollment approaches facility capacity, an efficient use of space.
Days Cash on Hand (Year 1)	5506 days	' Good	Cash reserves cover 90+ days of expenses — a strong liquidity position.
Operating Reserve (Year 5)	1511.6 months	' Good	By Year 5, the school has built a healthy operating reserve of 3+ months, a strong foundation for long-term stability.

Strengths & Risks

Biggest Strength

Strong Year 5 profit

Biggest Risk

No facility location secured yet, so facility costs are estimated

Recommendations

Priority	Recommendation	Details
LOW	Plan for Tuition Collection & Discount Risk	Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 99.9% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.
MEDIUM	Curriculum & Instructional Costs Are High	Instructional program costs average \$45,000 per student. Most schools target \$500–\$2,000 per student for curriculum, supplies, and assessments. Review whether premium curriculum is justified by your educational model and outcomes.
HIGH	Secure Your Facility Location	Your model is based on an estimated facility budget. Once you have a signed lease or purchase agreement, update your model with actual numbers because real lease terms make your projections far more reliable.

Revenue Composition

Year	Tuition & Fees	Public Funding	Philanthropy
Year 1	99.9%	0.0%	0.1%
Year 2	100.0%	0.0%	0.0%
Year 3	100.0%	0.0%	0.0%
Year 4	100.0%	0.0%	0.0%
Year 5	100.0%	0.0%	0.0%

Cost Structure

Year	Staffing % of Rev	Facility % of Rev	Total OpEx % of Rev
Year 1	0.5%	1.5%	5.7%
Year 2	0.4%	0.8%	3.8%
Year 3	0.3%	0.5%	2.8%
Year 4	0.2%	0.3%	2.2%
Year 5	0.2%	0.2%	1.7%

Cumulative Financial Trajectory

Year	Cumulative Profit	Reserve (Months)
Year 1	\$91,220,408	181.0 months
Year 2	\$276,409,679	409.0 months
Year 3	\$596,162,174	703.7 months
Year 4	\$1,096,894,971	1071.7 months
Year 5	\$1,831,483,316	1511.6 months

Stress Test Scenarios

Scenario	Year 1 Profit	Final Year Profit	Break-Even Year
Enrollment 20% Below Plan	\$72,651,367	\$587,323,898	Year 1
Loss of Philanthropy	\$91,170,408	\$734,488,345	Year 1
Occupancy +15%, Personnel +5%	\$90,774,029	\$733,702,430	Year 1
Revenue Delayed 3 Months	\$66,903,408	\$734,588,345	Year 1
Interest Rate +2%	\$91,220,408	\$734,588,345	Year 1